

for the long haul (20+ years), you will make money by investing in an index fund that tracks the market as a whole.

It's important to note that you do not want to invest *all* of your money in the stock market. Remember, because the market can go down, it is not a good place to put money that you will be needing anytime soon. For example, if you plan to buy a house within the next five years, you should not invest the money you have saved for a down payment in the stock market. This is a bad idea because the market could take a downturn, and it may not recover by the time you need that money to help you buy your house. The stock market is best used for long-term investing.

You Don't Need to Be an Expert to Invest

There are some advantages to investing in index funds rather than actively managed mutual funds. It should be noted, however, that investing in either of these options is the right decision. Historically, it has been shown that investing in a mutual fund or index fund over a long period of time is going to make you money. The only wrong decision is the third option: choosing not to invest at all.

Unless you have a huge amount of money or are in a complicated tax situation, you do not need to hire a professional to invest your money for you. Remember how I said earlier that mutual funds are managed by professional investors, and you need to pay them for making your investments? Well, the vast majority of "professional" investors cannot beat the market. When I say "beat the market," I mean they cannot produce an ROI that is higher than the market indexes, like the S&P 500. Of course, there